Yes, during the mid-1990s some insurance companies started offering variable annuities with more lucrative minimum investment returns or maximum anniversary guarantees. These enhanced GMDBs promised that in the event of death, beneficiaries would be guaranteed at least the premium deposit, grown by up to 7% per annum, or a death benefit equal to the best historical anniversary value. But then again, you had to die to get these benefits and many policies were surrendered and lapsed well before the policyholder ever died. More importantly, at the time of our analysis the bulk of VA assets—and especially the policies inside tax-sheltered qualified plans such as 401(k) or IRA accounts—only offered a plain vanilla (RoP) GMDB.

To conduct the study, we examined a comprehensive database that Morningstar graciously provided to us, which at the time included over 400 VA policies and 7,000 investment subaccounts. That was then. Now, there are over 1,400 different policies and a mind-numbing 66,000 different investment subaccounts to choose from. (Talk about inflation for retirees!) We compared the pure insurance charges, called the mortality and expense (M&E) fee—which ranged from 7 to more than 140 basis points (or 0.07% to 1.40%) per annum—to theoretical model values, which approximated the costs of replicating these guarantees in the capital markets. Think of it as comparing retail prices to wholesale prices for a pair of shoes, to calculate the markup.

This might sound like an odd type of project to do as a hobby in your spare time, but it was pure intellectual curiosity that motivated us to investigate whether consumers were getting their money's worth on the guarantees offered within variable annuities.

Nowadays, the question of whether the costs and fees charged within a variable annuity contract are "too high" or "too low" or "just about right" relative to some baseline economic valuation model, is not just a theoretical exercise in abstract pricing theory. This topic is relevant to more than just the cost-conscious investors or consumer advocates who want to make sure they are getting fair value for their money. In fact, no less authority than the U.S. Department of Labor has recently issued regulations that pertain to the fiduciary responsibilities of trustees in defined contribution (DC) pension plans. The DOL regulates these plans and has a critical voice in deciding what investments should be allowed into DC plans. Their recent regulations